Business Law

Course: CS — Certified Secretaries
Level: Foundation Level
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Syllabus version: Based on the standard KASNEB CS Foundation Business Law syllabus structure (the Kenyan legal system, law of contract, law of tort, and business organisation law fundamentals). Authored from general legal knowledge and standard syllabus topic coverage, not copied from any existing notes provider. Cross-check the topic list, and especially any statutory references, against the current official KASNEB syllabus gazette and up-to-date legislation before the exam — law changes over time and specific section numbers are deliberately not cited here to avoid stating outdated references as current.

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Table of contents

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1. Nature and sources of law

Law is the body of rules, enforceable by the state, that governs conduct within a society. For a business, law defines what it may do, what it must do, and what remedies exist when rules are broken.

1.1 Classifications of law

Classification	Distinction
Public law vs private law	Public law governs the relationship between the state and individuals (e.g. constitutional law, criminal law); private law governs relationships between individuals/entities (e.g. contract law, tort law)
Civil law vs criminal law	Civil law resolves disputes between parties, typically resulting in compensation; criminal law punishes conduct the state deems harmful to society, typically resulting in fines or imprisonment
Substantive law vs procedural law	Substantive law defines rights and duties; procedural law governs how those rights are enforced (court processes)

1.2 Sources of Kenyan law

- The Constitution — the supreme law; any other law inconsistent with it is void to the extent of the inconsistency.

- Legislation (statutes) — laws enacted by Parliament (Acts of Parliament) and, at county level, County Assemblies.
- Subsidiary legislation — rules, regulations, and orders made under the authority of an Act.
- Case law (judicial precedent) — decisions of superior courts that bind lower courts on the same legal question (the doctrine of *stare decisis*).
- Customary law — recognised where applicable and not repugnant to justice and morality.
- International law and treaties ratified by Kenya, to the extent incorporated into domestic law.

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2. The Kenyan legal system and court structure

2.1 Court hierarchy (from highest to lowest, in general terms)

Court	Role
Supreme Court	The final appellate court; also has original jurisdiction over specific matters such as presidential election disputes
Court of Appeal	Hears appeals from the High Court and equal-status courts
High Court	Has unlimited original jurisdiction in civil and criminal matters, and supervisory jurisdiction over subordinate courts and tribunals
Subordinate courts (e.g. Magistrates' Courts)	Handle the bulk of first-instance civil and criminal cases within defined jurisdictional limits
Specialised courts and tribunals (e.g. Employment and Labour Relations Court, Environment and Land Court)	Handle matters within their specific subject-matter jurisdiction

2.2 Alternative dispute resolution (ADR)

Businesses increasingly resolve disputes outside the ordinary courts through arbitration (a binding decision by an appointed arbitrator), mediation (a facilitated negotiation toward a mutually acceptable settlement), and negotiation. ADR is generally faster, more confidential, and can preserve business relationships better than litigation.

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3. Law of contract I: formation

A contract is a legally binding agreement between two or more parties, enforceable by law.

3.1 Essential elements of a valid contract

Element	Meaning
Offer	A clear, definite proposal by one party (the offeror) to be bound on specified terms if accepted
Acceptance	An unqualified agreement to the exact terms of the offer, communicated to the offeror
Consideration	Something of value given by each party in exchange for the other's promise — the "price" of the promise
Intention to create legal relations	The parties must intend the agreement to be legally binding (presumed in commercial agreements, presumed absent in purely social/domestic ones)
Capacity	Parties must have the legal ability to contract (e.g. certain protections apply to minors)
Legality of object	The purpose of the contract must not be illegal or contrary to public policy
Genuine consent	Consent must be free from misrepresentation, duress, undue influence, or mistake that would vitiate the agreement

3.2 Offer vs invitation to treat

An invitation to treat is not itself an offer — it is an invitation for others to make offers. Goods displayed in a shop window or on a shelf are generally an invitation to treat; the customer makes the offer to buy at the till, which the retailer is free to accept or decline.

3.3 Worked example

A wholesaler advertises "Bulk maize flour, KSh 4,500 per 50kg bag, while stocks last" in a newspaper. A retailer sends an order for 200 bags at that price.

• The advertisement is generally an invitation to treat, not an offer, since it does not show a clear intention to be bound to supply an unlimited quantity to anyone who reads it.
• The retailer's order is the offer.
• No contract exists until the wholesaler accepts — for example, by confirming the order or dispatching the goods.

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4. Law of contract II: performance, breach, and remedies

4.1 Discharge of a contract

A contract may be discharged (brought to an end) by: performance (both parties fulfil their obligations), agreement (the parties mutually agree to end it), frustration (an unforeseen event makes performance impossible or radically different through no fault of either party), or breach.

4.2 Breach of contract

Type of breach	Effect
Actual breach	A party fails to perform an obligation when due
Anticipatory breach	A party indicates, before performance is due, that they will not perform
Condition breach	Breach of a fundamental term — entitles the innocent party to terminate and claim damages
Warranty breach	Breach of a minor term — entitles the innocent party to damages only, not termination

4.3 Remedies for breach

Remedy	Nature
Damages	Monetary compensation intended to put the innocent party in the position they would have been in had the contract been performed
Specific performance	A court order compelling the party in breach to actually perform the contract (typically used where damages would be an inadequate remedy, e.g. sale of a unique item)
Injunction	A court order restraining a party from doing something in breach of contract
Rescission	Setting the contract aside, restoring the parties as far as possible to their pre-contract position

Duty to mitigate: the innocent party must take reasonable steps to minimise the loss caused by the breach; damages will not be awarded for losses that reasonable mitigation could have avoided.

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5. Law of tort

A tort is a civil wrong, independent of contract, for which the law provides a remedy, usually damages.

5.1 The tort of negligence

Element	What must be proved
Duty of care	The defendant owed the claimant a legal duty to take reasonable care
Breach of duty	The defendant's conduct fell below the standard of a reasonable person in that position
Causation	The breach caused the claimant's loss
Damage	The claimant suffered actual, legally recognised loss or harm

5.2 Other business-relevant torts (in brief)

- Defamation — publishing a false statement that damages another's reputation.
- Trespass — unlawful interference with a person, land, or goods.
- Vicarious liability — an employer can be held liable for torts committed by an employee in the course of their employment, even though the employer was not personally at fault.

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6. Law of agency

An agent is a person authorised to act on behalf of another (the principal), creating legal relations between the principal and third parties.

6.1 Creation of agency

Agency may arise by express appointment, by implication from the parties' conduct, by necessity (in emergencies), or by ratification (the principal later adopts an unauthorised act done on their behalf).

6.2 Authority of an agent

Type	Meaning
Actual authority	Authority genuinely given by the principal (expressly or impliedly)
Apparent (ostensible) authority	Authority the principal represents the agent as having, even if not actually given — the principal may be bound to a third party who reasonably relied on that representation

6.3 Duties of an agent to the principal

Act within authority, exercise reasonable care and skill, avoid conflicts of interest, not make a secret profit, and account for money/property handled on the principal's behalf.

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7. Sale of goods

7.1 Implied terms in a contract for the sale of goods

Even where not expressly stated, sale-of-goods law generally implies terms that the seller has the right to sell the goods, that goods sold by description correspond to that description, and that goods are of satisfactory quality and reasonably fit for any particular purpose made known to the seller.

7.2 Passing of property and risk

Ownership (property) in goods generally passes to the buyer when the parties intend it to pass, which for unascertained goods typically requires the goods to first be ascertained/identified to the contract. Risk of loss or damage generally passes with property, unless the contract provides otherwise.

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8. Business organisation law fundamentals

8.1 Separate legal personality

A registered company is a legal person distinct from its shareholders and directors — it can own property, sue and be sued, and enter contracts in its own name. This is the foundation of limited liability: shareholders' potential loss is generally limited to the amount unpaid on their shares.

8.2 The corporate veil

Courts may, in limited and exceptional circumstances (e.g. fraud, or using the company as a mere façade to evade an existing legal obligation), "lift the corporate veil" and hold the individuals behind a company personally liable, departing from the normal rule of separate legal personality.

8.3 Company formation and key documents

- Memorandum of association — states the company's fundamental details, including its objects (historically) and liability of members.

- Articles of association — the internal rulebook governing how the company is run (director powers, meetings, share transfers, etc.).
- Certificate of incorporation — issued by the registrar, evidencing that the company has been legally formed and has come into existence as a separate legal person.

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9. Full worked case-study question

Scenario (original): Mwangi owns a small electronics shop. He displayed a television in his shop window with a price tag of KSh 35,000. A customer, Otieno, entered and told the shop assistant he would "take it at that price," handing over cash. The assistant accepted the cash and issued a receipt. Later, Mwangi realised the tag had been mispriced (the television should have cost KSh 55,000) and wants to refuse to hand over the television, offering to refund Otieno's money instead.

Required: (a) Explain, using contract law principles, whether Mwangi is legally obliged to sell the television at KSh 35,000. (b) Advise Otieno on his position if he refuses the refund and insists on the television.

Model answer:

(a) The display of the television with a price tag in the shop window is, in general contract law principles, an invitation to treat — an invitation for customers to make offers — not itself a binding offer to sell at that price. Otieno's statement that he would "take it at that price," accompanied by handing over cash, constitutes the offer. The shop assistant's acceptance of the cash and issuing of a receipt constitutes acceptance of that offer, on the terms offered (KSh 35,000), completing a valid contract at that price — assuming the assistant had actual or apparent authority to accept sales on Mwangi's behalf, which is ordinarily presumed for a shop assistant conducting routine sales. The genuine mispricing does not, on these facts, automatically void the contract; a unilateral mistake by the seller as to price generally does not entitle them to avoid a contract that has already been validly formed and accepted, unless the mistake was so fundamental and obvious that Otieno could not reasonably have believed the price was genuine (which is not indicated here). Mwangi is therefore likely bound to honour the sale at KSh 35,000.

(b) If Otieno refuses the refund and insists on the television, he may seek the remedy of specific performance, compelling Mwangi to deliver the specific item sold, particularly where the item is a specific, identifiable good rather than a generic commodity readily available elsewhere at the same terms. Alternatively, or if specific performance is not granted, Otieno could claim damages for breach of contract, reflecting his loss from not receiving the television at the agreed price (for example, the extra cost of buying an equivalent television elsewhere).

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10. Self-assessment question bank (original questions, with model answers)

Q1. Distinguish between public law and private law, with one example of each. *(3 marks)*

Model answer: Public law governs the relationship between the state and individuals, e.g. constitutional law. Private law governs relationships between individuals or entities, e.g. the law of contract.

Q2. Explain the doctrine of judicial precedent (*stare decisis*). *(3 marks)*

Model answer: Judicial precedent requires courts to follow the legal principles established in previous decisions of superior courts on the same point of law, promoting consistency and predictability. A lower court is generally bound by the decisions of courts above it in the hierarchy.

Q3. Distinguish between an offer and an invitation to treat, with one example of each. *(4 marks)*

Model answer: An offer is a definite proposal made with the intention of being bound on specified terms if accepted, e.g. a written quotation stating "I offer to sell you this laptop for KSh 60,000." An invitation to treat is merely an invitation for others to make offers, with no intention to be bound by anyone who responds, e.g. goods displayed on a supermarket shelf with a price tag.

Q4. State the essential elements required for a valid contract. *(4 marks)*

Model answer: Offer, acceptance, consideration, intention to create legal relations, capacity of the parties, legality of the object, and genuine consent.

Q5. Explain the difference between a condition and a warranty in a contract, and the significance of the distinction. *(4 marks)*

Model answer: A condition is a fundamental term of the contract, going to its root; breach of a condition entitles the innocent party to treat the contract as terminated and claim damages. A warranty is a minor or subsidiary term; breach of a warranty entitles the innocent party to claim damages only, without a right to terminate the contract.

Q6. Explain the doctrine of frustration and give one example of an event that could frustrate a contract. *(3 marks)*

Model answer: Frustration discharges a contract where, after formation, an unforeseen event occurs (through no fault of either party) that makes performance impossible, illegal, or radically different from what was originally contemplated. Example: a venue booked for an event is destroyed by fire before the event date, making performance of a contract to hold the event there impossible.

Q7. State the four elements a claimant must prove to succeed in a negligence claim. *(4 marks)*

Model answer: (i) That the defendant owed the claimant a duty of care; (ii) that the defendant breached that duty by falling below the standard of a reasonable person; (iii) that the breach caused the claimant's loss; (iv) that the claimant suffered actual, legally recognised damage.

Q8. Explain "vicarious liability" and its relevance to an employer. *(3 marks)*

Model answer: Vicarious liability holds one party liable for the wrongful acts of another because of the relationship between them — most commonly, an employer being held liable for torts committed by an employee acting in the course of their employment, even where the employer was not personally at fault, because the employer is best positioned to bear or insure against that risk.

Q9. Distinguish between actual authority and apparent (ostensible) authority of an agent. *(3 marks)*

Model answer: Actual authority is authority genuinely conferred on the agent by the principal, whether expressly stated or implied from the circumstances. Apparent authority is authority that the principal represents the agent as having to third parties, even if not actually granted; the principal may still be bound by the agent's acts within that apparent authority if a third party reasonably relied on the representation.

Q10. Explain the concept of separate legal personality of a registered company and state one circumstance in which the corporate veil may be lifted. *(4 marks)*

Model answer: A registered company has a legal personality distinct from its shareholders and directors — it can own property, enter contracts, and sue or be sued in its own name, and shareholders' liability is generally limited to the amount unpaid on their shares. Courts may lift the corporate veil in exceptional circumstances, such as where the company is being used as a mere façade to perpetrate fraud or evade an existing legal obligation, holding the individuals behind it personally liable.

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11. Exam technique and revision checklist

- For contract-formation questions, work through the elements systematically (offer, acceptance, consideration, intention, capacity, legality, consent) rather than jumping straight to a conclusion.
- For breach/remedy questions, first classify the breach (condition vs warranty, actual vs anticipatory) before selecting the appropriate remedy.
- For case-study/scenario questions, apply the legal principle to the specific facts given — state the rule, then explicitly connect it to the facts, rather than reciting the rule alone.
- Avoid citing specific section numbers of statutes from memory unless you are certain they are current — examiners generally reward correct application of the legal principle even where a precise citation is omitted.

Quick revision summary — one line per topic:

1. Kenyan law derives from the Constitution, legislation, subsidiary legislation, case law, customary law, and applicable treaties.
2. The court hierarchy runs from subordinate courts up through the High Court, Court of Appeal, to the Supreme Court.
3. A valid contract requires offer, acceptance, consideration, intention, capacity, legality, and genuine consent.
4. An invitation to treat is not an offer — the customer typically makes the offer in a retail transaction.
5. Contracts are discharged by performance, agreement, frustration, or breach.
6. Breach of a condition allows termination plus damages; breach of a warranty allows damages only.
7. Negligence requires duty, breach, causation, and damage.
8. Agency creates legal relations between principal and third party through the agent's actual or apparent authority.
9. Sale-of-goods law implies terms as to title, description, and quality even where not expressly stated.
10. A company has separate legal personality; the corporate veil may exceptionally be lifted for fraud or evasion of obligations.

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus, up-to-date Kenyan legislation, and examiner's reports for the paper.